

Piper Sandler Growth Frontiers Conference

Company Participants

- Jarrod Langhans, Chief Financial Officer
- John Fieldly, Chief Executive Officer

Other Participants

- Michael Lavery, Analyst, Piper Sandler Companies

Presentation

Michael Lavery {[BIO 20141239 <GO>](#)}

Welcome, everyone. And thanks for joining us. I'm Michael Lavery, the Food and Beverage Analyst here at Piper. And big pleasure today to have Celsius with us. We've got CEO, John Fieldly; and CFO, Jarrod Langhans. Been on a tear, if you haven't looked at the stock, you might not know what you've been missing. But they've been doing a real nice job.

Questions And Answers

Q - Michael Lavery {[BIO 20141239 <GO>](#)}

Let's jump in just first, maybe could you tell us a little bit about some of the top-line drivers we see accelerating? Pretty significant growth.

A - John Fieldly {[BIO 17560616 <GO>](#)}

Yes, yes.

Q - Michael Lavery {[BIO 20141239 <GO>](#)}

We just saw the latest scanner data, we get the IRI that had you up 144%, I think, in the -- in the latest four weeks, faster. Each period been accelerating faster still. Can you just help us unpack some of what's driving that? And...

A - John Fieldly {[BIO 17560616 <GO>](#)}

Yes. Yes, absolutely.

Q - Michael Lavery {[BIO 20141239 <GO>](#)}

...talk a bit about that US -- the measured retail piece in the US?

A - John Fieldly {[BIO 17560616 <GO>](#)}

Yes, no, thanks for having us as well. It's -- excited to be here. And, yes, the -- must be the Celsius. I mean, the Company has been on a tear.

I think when you look at what's happening in the category it's -- Celsius is really capitalizing on three of the fastest growing trends in food and beverage, so everyone wants better for you, but they don't want to sacrifice flavor. So, yes, we deliver on that with seven essential vitamins and great flavor combinations, probably some of the most innovative flavors in the -- in the industry.

And then when you look at functionality, we deliver on that. Consumers want more in the foods and beverages they consume. And then fitness is cool, sexy, and align with today's health money consumer. And that's in our DNA. And that's who we are. So it's Celsius lift fits and central energy inside and outside the gym.

And when you look at some of the key drivers, we're coming up on our one year anniversary with the Pepsi partnership. They sold their first case in October last year. So that's been a really big driver. Bought our ACV from about 60% to -- or over 95% today.

It talks about some of the latest scan data. I didn't see the latest data that came out in the last week or so. But if you look at like the August 13 data, and you look at the 24-week and 52-week, Celsius was one of the main drivers, and not only dollars, but units and units are really important, right? Because you're bringing new consumers into the category, really building the brand and the portfolio.

And then when you look at the other drivers that we see, we're seeing that distribution has expanded, we're seeing new consumers come into the category. And the latest Mintel data shows that Celsius -- our consumers are about 44% are new to category. So that's a really incremental and that's what we're seeing on the mix. And what we're doing is working, we're expanding into new markets, and it's exciting.

Q - Michael Lavery {BIO 20141239 <GO>}

So I want to touch on a few things there and we can dig into a little bit more. I want to touch about some of the differentiation. I think when we were looking at the name, in our initiation, what really stood out is how -- that the packaging, the flavor profiles, there's quite a bit that makes it distinct, relative to other energy drinks. How do you think about that? And you mentioned that -- how many users are new to the category? Have you seen that evolve over time? Is that -- is that increasing at all? And where are those consumers coming from? Is it other -- is there like a coffee occasion they're replacing or tell us some about how that consumer comes up the category?

Yes, we had a lot of questions on that today from a lot of investors. And it's -- when you look at the Celsius portfolio and you look at it, versus traditional energy, it's really inviting. We have a -- it looks -- we hear that a lot.

We also hear from our consumers that they don't drink energy drinks. They're not energy drink consumers. You talk about usage occasions and you see like -- what's interesting with Celsius, a lot of our consumers consume it with lunch. So we think there's a huge opportunity with foodservice expanding that energy occasion.

And we just launched in over 2,000 Jersey Mike's, so that's going to be a really good indicator on how this performs in fast casual. And then when you look at the partnership with Pepsi, the amount of distribution you can gain in fast casual, which is outside of that traditional energy drink convenience, where 70% or so should be a great opportunity to really test that thesis out.

We do extremely well on Amazon. We're about a over 18 share. The club business has been -- we're about a year and a half in at -- almost going on two years and doing extremely well in the club business.

It's -- the flavor combinations with innovation. Jarrod's got at Cosmic Vibe, which is a sparkling fruit punch we just launched at Circle K, which is out of this world with Cosmic Vibe now there's aliens that are identified. So it really goes on consumer trends and what's in the news we can leverage. But it's -- we've done great.

Oasis Vibe had a couple back there that, that I think have gotten grabbed. It's a Prickly Pear Lime. We launched it at Coachella a lot of great strategies behind that on leveraging social media and influencers.

And then we have a Green Apple Cherry we just launched at 7-Eleven, which is one of our top selling flavors at 7-Eleven right now. And that's what makes us unique with our consumers too is we got great flavors. And we see our consumers are very loyal to Celsius, but they will move in between flavors, as well, so.

No, so that's great. So your food service club, it was on your ribbon right on my list, we'll come back also. But Let's come back to the distribution for a minute. I want to understand I think somebody may be new to the story there. It could be tempting to think that you hit October 1, then it's all over. You're laughing the Pepsi lift. And then that's it.

But we've looked at this. And even since just January, the sequential total distribution points have increased an average of 4% per month. It's still building. Can you bring to life a little bit of some -- how that looks, in terms of secondary placements or facings and just how the distribution can grow within the stores you're in...

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes, agreed.

Q - Michael Lavery {[BIO 20141239](#) <GO>}

...as opposed to just whitespace that you refer to with the ACB lift?

A - Jarrod Langhans {[BIO 18706067](#) <GO>}

Yes. So I mean, just because we hit 95, doesn't mean the game's over. We go home, right? So we're at about 14.6 average SKUs per location. So if you look at the top two players, they're probably in that 25 to 30 range, but then they're also double-phase, triple-phase, 10 times phase.

So we've got a huge opportunity to get better placement, more SKUs, double phase, triple-phase. We talked about the Vibe line here, he's got -- which one do you got? Orange today? So our core line. So the more Fruitful word line, and then we've got our Vibe line that we're bifurcating to create two different brands within the brand, right? So we're looking to really expand that and look for a shelf for each and or two shelves for each or three shelves for each. So there's a lot of opportunity within that.

That 95 ACV just means we're in the door. But once you're in the door, you want to get out of the crack, you want to get out of the gutter, you want to have really good placement, and that'll drive velocity and that'll drive further market share.

A - John Fieldly {[BIO 17560616](#) <GO>}

And I think we need -- we're getting ready for knacks as well in the first week of October, where buyers and convenience really start their review season for next year. And when you go back and you think of where we were 12 months ago, we were sitting at about a 3.4 share in the category. And today, we're on a trajectory to be a 10 share.

So -- which hasn't been done in the last decade, which is really amazing feat for the team, the brand and the partnership with Pepsi, as well. And when you see when -- you're going into buyer

review meetings from a 3.4 share brand to a more -- a 10 share brand with increased unit sales and dollars, that puts you in a different prioritization list and different conversations that you're able to have with these buyers. And so, we're really excited about heading into buyer season and review season to add what you're talking about, getting that better placement, getting out of the gutter, as they call it, and getting into the bull's eye.

And consumers are we're all creatures of habit. We go to the same store or the same convenience store or the same restaurant, the same gym. So it's really about gaining that point of interruption. So you can do top-funnel marketing, try to build that awareness, we need to gain trial. And then that's where we can convert into loyalty.

And once we get a consumer -- our consumers are really loyal -- look at the sales on Amazon that's all warm product that people are paying over \$20 a case for. It has the -- we ship to their house. They have to chill it and drink it as part of a daily routine, daily lifestyle. So it's really leveraging. This Pepsi partnership is gaining that tapping into that impulse purchase that cold purchase, those secondary purchases that are -- that are available out there that really drive the energy category.

Q - Michael Lavery {[BIO 20141239](#) <GO>}

And so if you -- if you get better awareness, better visibility, likely better trial, better placement, more facings, even better assortment, because to your point, it's not a single SKU that really does all the work more like maybe in Red Bull's case.

And so, now that you're coming in to these resets, again, another cycle, have you had those conversations yet? Is that just getting started? Is it a continuous thing that they're not even just this next year, but if your momentum continues, you'll be a year from now looking at another wave? Again, is it a lather, rinse, repeat?

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes, it is. I mean, we've already had some of the top retailers. We have a pre-meeting with Walmart, that went extremely well. So we're excited about that. And we'll get into review meetings, as we further refine. But just an exploratory meetings really have -- never been invited to exploratory meetings before. As a three-share brand, you don't get invited to those.

So it's an honor to be there. And we actually flew out to California. And it was great sitting with their leadership team there. And I think there's a lot of opportunities. I mean, look at Walmart, they drive this in -- the biggest energy seller of all retailers. And so, there's lots of opportunities there. They're really on own -- under-indexed versus where we are in a national level. So we need to close the gap. And that's where distribution, placement, having the right assortment.

I think what Jarrod touched on when you look at our Vibe line and look at our Core line, I think there's -- we think there's really a big opportunity to bifurcate those two lines. And it really provides our sales team to sell to port -- to port -- unique portfolios.

The Vibe line is more really experiential. We have great experiential flavors and unique combinations versus the Core line is very fruit for it [ph], or we're going after really the most refreshing energy drink on the planet. And we went on that.

So there's a little bit different marketing and messaging around this. And we're also seeing potentially somewhat different usage occasions or different consumers that are attracted to those two portfolios, so.

Q - Michael Lavery {BIO 20141239 <GO>}

No, that's great. And so, you touched on Amazon. Can you give a sense of what your share is there? And has it been impacted at all by broader distribution? It seems like if you're selling cases, maybe more heavier users, who just don't want to let a case home from the store, as opposed to people who -- now, it's hard to think somebody's ordering on Amazon because they don't have the product available nearby.

A - John Fieldly {BIO 17560616 <GO>}

Right, right.

Q - Michael Lavery {BIO 20141239 <GO>}

What's their Amazon consumer like, and how's that business been doing?

A - Jarrod Langhans {BIO 18706067 <GO>}

Yes, I mean, we're just under 19 share on the last day to pull, so we're a couple percent below Monster. So we're well ahead of Red Bull on Amazon.

But if you look at our last -- our Q2 reporting, we're in excess of 100% growth in all channels, right? So you're going to see Amazon, clubs. So as we're continuing to expand and get more availability and build more brand awareness, we're not cannibalizing anywhere.

So we're seeing -- and it's somewhat of a different consumer, like you said. Amazon might be that more loyal consumer that has the repeat purchases, they don't mind having a 18-pack that's warm, that they're going to have to stick in the fridge. We got the impulse buyer now with the C&G, and the Mule OC [ph]. And then we got the Costco consumer that, again, is similar to the Amazon, but it -- again, it's not cannibalizing anything. So we're just seeing growth all throughout.

A - John Fieldly {BIO 17560616 <GO>}

Yes, I agree. I think you would think you would get some cannibalization either on Amazon or in the club channel, or in large format. And it's -- see, like Jarrod said, the tides are rising. It's really exciting. And I think it's different consumers, right? I think we got a different shopper at Costco, versus you do on Amazon. And then when you look at convenience and gas and some of the opportunities we're in, we're also the number one energy drink sold through Instacart. So I think that's a -- that's really unique as well.

I think that's a big opportunity this omni-channel world within Instacart and potentially delivery dudes, as we get more into fast casual and those type of opportunities ahead of us. But it's been -- Amazon has been one of a key growth factor for us for -- I've been with the Company 12 years, and it's been a key growth factor every single year.

Q - Michael Lavery {BIO 20141239 <GO>}

So one of the questions we get a lot is, what is the market share ceiling? You touched on how -- it's other than Red Bull and Monster, obviously, there's not somebody who's really stayed above that 10% threshold. Can you maybe touch on -- you've got the basically 19 share on Amazon, can you touch on how you're positioned in South Florida, where you're more established your base there? What have you seen in that market?

A - John Fieldly {BIO 17560616 <GO>}

Yes, so we used to say where can we be -- how big can we be? And we used to say, Well, somewhere between Amazon where every brands treated equal and has the same opportunity to the three share, where we are nationally today. And then we got a lot of people -- we're second guessing or questioning the Amazon saying, that's not the average consumer. That's not the average shopper, which I flipped that story, because I think that's an extremely loyal shopper that's on Amazon, because of that warm package and that \$20 purchase, trying to get someone new and spend \$20 on a product is practically near impossible or very difficult.

And then when you look at -- so throughout the South Florida market, and we have been there in South Florida for some time. But if you -- in April, we released the market share data, it was 21.7% share in South Florida. And then most recently, on the August 13 data, it was 23.5%. So we added about two share points in South Florida in two months, which is an amazing feat.

And South Florida is really -- it gets very transient, you get a lot of people in for spring break, a lot of people in South Florida coming through their vacation. So we figured that good as a -- that is a good market to throw out as another data point that people can talk about.

I guess the downside on this one is the -- it's now it's in our backyard. So maybe it's not as equal as an opportunity. So I think on the next earnings call, we'll call -- we'll throw out a couple of markets that maybe Buffalo, New York, which we haven't really marketed, and it's all the way north, and maybe some other markets that we have out there.

But South Florida is great. I think that's just another data point that this brand can perform extremely well. And it's -- the energy categories perform -- is growing and it's expanding. And you're seeing this category has evolved beyond just energy, and Celsius is a key driver on that.

We're differentiated. It's almost energy 2.0. It's -- I can't tell you the amount of people that I speak with. Even at this conference that come in so they substitute their afternoon coffee with a Celsius. And then you ask them if they're an energy drink consumer, and they say no. And it's just -- it's fascinating where this brand has evolved. And it's a -- the team's done a great job.

Q - Michael Lavery {[BIO 20141239](#) <GO>}

So let's touch on the food service again just for a minute. You mentioned the launch into Jersey Mike's. How much, with your partnership with Pepsi, do -- how does it work for some of those expansion opportunities? Is it -- do you jointly talk to potential customers? Are they driving that? Is that more of your sales side? How does that look? And what are some of the wins that might be on the horizon there as well?

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes, absolutely. Right.

A - Jarrod Langhans {[BIO 18706067](#) <GO>}

Yes. So we actually do a remote recommendation. Brought a guy to retirement that have worked in food service for Pepsi, so we brought him on to our side. So he, obviously, knows the Pepsi system and how to navigate through the system. So a lot of it's going to be joint partnerships and using all his connections within Pepsi, but then his connections within food service and the population sizes really who Pepsi is already delivering to, because from a distribution perspective, it's not going to -- for us to go find some 2,000 other restaurants, it's not going to make sense, from a profitability perspective.

But that gives us the universe. So you've got a lot of the former young brand-type companies that are opportunity set. You got the Marriott's of the world, the Hyatt, the Sheraton, colleges and universities. Pepsi has about 60% of the college population that we can attack. We got into Lowe's through Pepsi. So it's a -- it's really a part of expanding the partnership. And it's incremental opportunities and incremental runway that we have to our access with Pepsi.

A - John Fieldly {[BIO 17560616](#) <GO>}

And I think what we have is we have a thesis that we're trying to -- we're going to get [ph] some more data on this. But we were speaking with like delivery dudes and trying to get some really understandings. We need some more data points.

But there is a thesis that this delivery -- when people are ordering foods or delivery apps, they're not really -- the amount of sales that are leveraging a fountain is somewhat low. So a lot of people are either not getting a beverage included in that delivered item when it's delivered. And if we can be incremental to that basket ring and that dollar profit, that could be a really great story that we can unlock.

And then also at fast casual, we see our Celsius consumers, we have a small data set that looks at the consumers is really not purchasing the fountain drink is actually getting water out of the filtered water. So that's a lost sale, potentially. If we can show we're incremental to that consumer, that basket ring dollar ring, I think that can be really successful...

Q - Michael Lavery {[BIO 20141239](#) <GO>}

Yes.

A - John Fieldly {[BIO 17560616](#) <GO>}

...to the overall story for food service. And we have a ton of cafeterias around their office in South Florida. And I see it in a variety of other offices or like when you go through airports now that we've gained access in airports with Pepsi, you see people consuming Pepsi, or consuming Celsius with some type of meal item and sandwich and some other items. So it makes it differentiated and open up to more opportunity for consumption.

Q - Michael Lavery {[BIO 20141239](#) <GO>}

So we've been focused on the US, let's switch to international. How do you think about that opportunity? And what's next for you there?

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes, I mean, that's the same global trends that we have. The same trends we have in the US are global trends. And the world has gotten so small, it's one click away, so leveraging, marketing. And we get a lot of lot of feedback from other markets about opportunities to distribute Celsius.

We are in Sweden. We have a little over a 10 share in the market. We're growing in Finland. We have some distribution in South Korea. We have distribution, initially, seated right now in Taiwan. We're looking at other APAC markets. We're in Hong Kong. We have a licensing royalty agreement in China. We have some distribution in Malaysia and the Philippines, and looking at some other markets they want to talk to others.

A - Jarrod Langhans {[BIO 18706067](#) <GO>}

And there was -- this year has been a lot of planning, and connecting with the European and APAC teams from Pepsi. And really just get everything set up. We'll launch in some markets in 2024. Like John said, we've seen it a bunch of markets already. But I would look at that as more of a '25 and '26 opportunity.

It's really about doing the planning this year, getting and building the blueprint next year and the launch plans and then refining those. And then get to '25 get to '26. And that's where you'll see more activity, from an outside market perspective.

So there's so much runway in the US right now that we don't want to take the eye off the prize and the team's focus away from the US. So we see the US, as just a significant opportunity. And so, instead of jumping out to a bunch of other countries and other markets, we're going to stay focused here.

We will lay the groundwork for the international markets. But we're at 300 -- \$310 million in the US sales just last quarter alone. So -- and we've grown at 100%. So I think that's what's -- where we need to keep our focus. But, again, we'll we'll launch out into an markets. We'll build a blueprint blueprint, we'll build a plan. And then we'll get rolling after that.

A - John Fieldly {[BIO 17560616](#) <GO>}

And our blueprint, we've identified -- we know how to activate, we know how to build awareness and build loyalty within the Celsius consumer portfolio. So we got the right strategy. We've demonstrated it in multiple markets in the US.

And Sweden has been a turnaround market for us. We've been in Sweden for some time. And that's turned around. And with our strategies that we have, as well as in Finland, we only been there about two years. And that's like a high single-digit market share right now and growing.

So we got a winning strategy. We need to make sure timing and sequencing is so important and distractions, as well. Jarrod said that this -- the opportunity in the US right now is just massive. And then I think being very strategic on our approach, within the leadership team, and how we add resources is going to be critical, versus going into a new market, and maybe doing like getting 95% ACV with a big partnership opportunity.

And then we're chasing to try to gain rotation at retail. And the reality of it is you got six months to perform a retail, otherwise, you're out. So you got to keep that in your mindset. So when we land, when we expand into market, we need to make sure we're building that loyal consumer that continue to build upon that, because you only do once in the market, right? And it needs to be done, right?

Q - Michael Lavery {[BIO 20141239](#) <GO>}

Yes. No, that makes sense. You've touched on how you can differentiate two like sub brands and shape your portfolio that way. Any other innovation in the works? I think, similarly to how you talked about the US being such an opportunity, and not wanting to get too distracted too quickly with international. It would make sense because this -- these -- this core is really doing the work, and you don't want to take your eye off that. But anything maybe down the line, or how do you think about building out the portfolio with anything else?

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes. We have a cross functional team that meets every month. We're always looking at new innovation, there's a variety of opportunities with functional hydration you could do. There's so

many new ingredients on the market.

I think there's -- the question is number one is focus is very important right now with our core portfolio. But then when you look like, where is Celsius three, five years, 10 years down the road? Can the Celsius portfolio be like a Gatorade brand, that can -- is very versatile? And so, those are things that we look at.

I think there's opportunities. I do think Celsius can play in functional waters, can play in hydration. Right now, we have a big powder opportunity as well. We don't really market the powder product. It's an On-The-Go Stick. It's in Walmart. It's in Target. It's in -- we're getting it placed in other retailers. It's in Kroger and several other chains.

But that's going to be -- that's over \$100 million business and growing rapidly. So the On-The-Go Stick opportunity is something we're looking on further expanding. A lot of people mix it with smoothies, and it's great on the go. So I think that's a -- that's an opportunity we could play in hydration within that set too. I mean there's other brands that are doing extremely well in there.

Q - Michael Lavery {[BIO 20141239](#) <GO>}

And then just maybe one last one, let's come back to margins. Your second quarter margins were well above I think what anybody expected. You've called out some extra spending and promotional spending and marketing spending in third quarter. So it's obviously -- it's going to have a little bit of a sequential pullback. But how do you think about the margin outlook or profile? And what should investors have in their minds, as far as a sustainable range or place for your margin? You're -- I'm thinking EBITDA margin, in particular, for those (inaudible).

A - Jarrod Langhans {[BIO 18706067](#) <GO>}

Yes, I mean Monsters set the gold standard, right? So that's what we strive to do to get -- to get to where their margins were historically. I know, we've all had a little bit of supply chain hiccups over the last few years, so the -- their margins are down a little bit, but they're working back to where they have been. So that's where we strive to be, ultimately. With 100% growth right now, we're more focused on making sure that we're investing behind that growth.

So we are given up a little bit of margin, but it is profitable growth, And the money we're making today, we're reinvesting that into the future growth of the business. So while we're on this significant increase, from a growth perspective, we're going to continue to invest behind that growth, but we do see opportunities, from a gross margin perspective, to slowly leverage that business and, over time, from a sales and marketing perspective, we are putting the sales and marketing dollars to better use.

As we continue to build the brand and become a bigger brand, it's not just us going out and trying to find influencers or trying to find partners. We actually have -- it's inbound as well. A lot of people want to be associated with us, just like we want to be associated with them. So we are able to get better bang for our buck, from a sales and marketing perspective. And we'll continue to do that. But it's really getting to the EBITDA margins that you see Monster deliver time and time again.

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes. And there's lots of leverage in the system as you scale between G&A and, I think, Jarrod's mentioned the sales and marketing piece like with the 95% ACV would improve shelf placement,

your dollar is going to be more effective, more efficient, as we go and continue to scale this business.

Q - Michael Lavery {BIO 20141239 <GO>}

Yes. Just out of time, but perfect. Great update. Thanks for all your input and thanks for being here with us today.

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

A - Jarrod Langhans {BIO 18706067 <GO>}

Thank you, everyone.

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